

Olevel economics

Chp:- Firms

Topic Small firms and growth

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Objectives of firms

Survival :- One objectives of firms, especially when they have just been established, is survival. New firms may take a while to build up a large customer base.

Social welfare :- A firm may wish to make a positive contribution to society in terms of its ethical or environmental behaviour and goals. There are many non-for profit firms that have social, community or charitable aims. These aims can be expressed in a policy statement or corporate social responsibility [CSR].

Profit maximization :- Profit can be defined as a reward for taking risk. It is the amount of money that remains after all costs have been subtracted from the revenue received by a firm. Many firms will not just profit as their main objective, but profit maximization. The profit maximizing output for a firm is where there is the greatest difference between total revenue and total cost.

Growth :- Another possible objective of a firm is growth. Instead of distributing profit to shareholders in form of a dividend, the money is ploughed back, or re-invested, into the firm in order to finance its expansion.

Firms

The relative size of firms

- * Number of workers employed by a firm
- * Value of output/sales over a period of time, for e.g. one year
- * percentage share of a market
- * value of the capital employed, that is, the value of its assets

Advantages of small firms

- * They are major employers in an economy
- * They provide many of the raw materials and component parts for large firms.
- * They provide goods and services to local economy e.g. local shops can sometimes exist in areas where larger firms don't operate
- * They are usually very flexible and can supply what customers want providing a quality service based on good relationships with customers. This can make them more effective than large firms
- * They provide new enterprise and dynamism in an economy.
- * They provide opportunities for people who want to work for themselves

Disadvantages of small firms

- * They will usually have limited production capacity and will not be able to meet a large demand for their products.
- * Small firms are usually unable to benefit from the cost advantages that large firms have (known as economies of scale)
- * They can sometimes find it difficult to raise sufficient capital to finance the expansion of the firm.
- * They don't have access to the research and development facilities that large firms have and this may limit their ability to make use of new technology and limit scope for product innovation.
- * They are likely to be less well known than large firms because they only have a limited marketing budget.

Reasons for the existence of small firms

- * Some small firms have just been set up
- * The owners of a small firm may prefer it to remain small, making it easier to manage
- * The size of the market may be small so there is only a limited demand for the firm's products, e.g. where a small firm is supplying specialised, niche products.
- * A small firm may not be able to raise sufficient funds to finance expansion

- * Small firms may be able to receive grants and other forms of financial support from a government.
- * The firm is providing customers with a service that requires personal attention, e.g. hairdressing.
- * Small firms are likely to be more flexible in responding to changes in demand.
- * Small firms may be more innovative and pioneering
- * In some industries, there has been an increase in contracting out and small firms may benefit from this.
- * A small firm may be more efficient; its labour relations and levels of motivation may be better than in a large firm.

Reasons for the growth of firms :- The growth of firms can come about through internal or external growth, such as through a merger, a takeover or an acquisition.

- * They may be able to reduce the costs of production by benefiting from economies of scale.
- * They may be able to gain a larger share of a market
- * They may be able to develop new and improved products
- * They may be able to sell to new markets, perhaps in other countries
- * They may become stronger and more secure as a result of growth
- * They may be able to increase the profitability of the firm

Internal growth:-

- * Reinvesting or ploughing back some of the profits of the firm.
- * Requesting the owners, the shareholders, to put in more capital to provide more funds to finance expansion.
- * Operating a franchise arrangement where the firm (the franchisor) allows another business (the franchisee) to use its business idea in return for a share of the profit made by the other business
- * Operating new stores or retail outlets so that there is a 'rolling out' to multiple outlets under the ownership and control of the firm
- * developing e-commerce to allow the firm to create an online trading platform so that a website can be used to expand to a much larger market.
- * Outsourcing to enable the firm to contract out some of its work to another firm which will then make goods or provide services on the firm's behalf.

External growth:-

- * Merger with another firm to form a single business.
- * Take over of another firm
- * Acquisition of part of another firm

Questions

Marks: 32

- Q1 Discuss the advantages and disadvantages of small firms? 8
- Q2 Explain the reasons for the existence of small firms? 6
- Q3 Explain the reasons for the growth of firms? 6
- Q4 Explain how internal growth can take place? 6
- Q5 Explain how external growth can take place? 6